Three-Sleeve Low-Correlation Trend Resumption (a06-riskmanaged)

Strategy as submitted

Everything below is what the analyst submitted before the trading window ran. A result cannot be checked against a strategy that is not shown alongside it.

Discipline

risk-managed

Thesis

```
Round 1 forced a two-name book (SCHD, BRK.B) because every other calm candidate in that universe had a
```

Universe

TLT, USMV, XLU

Entry rule

```
close > sma(200) and close > sma(50) and rsi(14) > 40 and rsi(14) < 60 and close crosses_above ema(10)
```

Exit rule

```
close < sma(50)
```

Brackets and sizing

Stop loss	6.00%
Take profit	6.00%
Max hold days	90
Max positions	3
Position size (fraction of equity)	33.00%
Designed through	2026-02-13

Trading window

Designed through 2026-02-13. Traded 2023-08-21 through 2026-02-13, 624 sessions.

This run's trading window starts on or before the design cutoff, so the analyst designed this strategy with sight of part of the data it just traded. The portion of the run before 2026-02-13 is in-sample and does not measure out-of-sample performance -- only sessions after the design cutoff do.

Results

Total return	3.01%
Max drawdown	-6.46%
Sharpe	0.37

Sortino	0.28
Volatility	0.03
Exposure	63.14%
Win rate	25.64%
Profit factor	1.28
Trade count	40

Reward:risk, planned versus realised

Planned is the ratio the card declared before trading (take-profit over stop-loss). Realised is what actually happened -- mean winning return over mean losing return -- since most trades exit on the rule or the time stop, not on either bracket.

Planned reward:risk (card)	1.00
Realised reward:risk	3.39

Benchmark comparison

Strategy total return	3.01%
Buy-and-hold benchmark return, same sessions	55.81%
Excess over benchmark	-52.81%

Trades

40 trades.

Symbol	Entry	Exit	Qty	Entry $	Exit $	PnL	Return	Reason
USMV	2023-08-24	2023-08-25	44	$74.28	$73.90	$-16.82	-0.51%	rule
USMV	2023-09-11	2023-09-22	44	$74.84	$74.16	$-30.02	-0.91%	rule
USMV	2023-12-26	2024-03-08	42	$77.41	$82.15	$198.98	6.12%	target
XLU	2024-03-20	2024-04-17	103	$31.86	$31.57	$-29.98	-0.91%	rule
XLU	2024-04-19	2024-05-07	102	$32.32	$34.51	$223.27	6.77%	target
TLT	2024-07-08	2024-07-25	35	$92.59	$91.98	$-21.45	-0.66%	rule
USMV	2024-06-03	2024-08-15	39	$82.82	$88.53	$222.59	6.89%	target
TLT	2024-07-29	2024-09-06	35	$93.72	$99.50	$202.20	6.16%	target
USMV	2024-09-30	2024-10-28	36	$91.13	$91.18	$1.70	0.05%	rule
XLU	2024-10-15	2024-11-04	82	$40.32	$38.66	$-136.22	-4.12%	rule
USMV	2024-11-21	2024-12-12	35	$92.21	$92.06	$-5.35	-0.17%	rule
XLU	2025-01-31	2025-02-03	84	$39.22	$38.41	$-68.14	-2.07%	rule
XLU	2025-02-06	2025-03-06	84	$39.38	$38.43	$-79.90	-2.42%	rule
XLU	2025-03-11	2025-03-12	84	$39.07	$38.68	$-32.86	-1.00%	rule
USMV	2025-03-06	2025-03-13	35	$93.10	$91.03	$-72.54	-2.23%	rule

Symbol	Entry	Exit	Qty	Entry $	Exit $	PnL	Return	Reason
XLU	2025-03-17	2025-03-25	83	$39.44	$39.03	$-34.13	-1.04%	rule
USMV	2025-03-18	2025-04-04	35	$92.85	$91.40	$-50.84	-1.56%	rule
USMV	2025-05-16	2025-06-20	35	$93.03	$92.09	$-33.00	-1.01%	rule
USMV	2025-06-24	2025-06-26	35	$92.92	$92.55	$-13.05	-0.40%	rule
USMV	2025-06-27	2025-07-14	35	$92.72	$92.68	$-1.50	-0.05%	rule
USMV	2025-07-23	2025-08-01	35	$94.09	$92.53	$-54.70	-1.66%	rule
XLU	2025-05-27	2025-08-05	81	$40.87	$43.65	$225.07	6.80%	target
USMV	2025-08-05	2025-08-06	35	$93.15	$92.74	$-14.45	-0.44%	rule
XLU	2025-08-20	2025-09-03	76	$43.13	$41.85	$-97.38	-2.97%	rule
USMV	2025-08-14	2025-09-17	35	$93.40	$93.17	$-8.15	-0.25%	rule
XLU	2025-09-11	2025-09-17	77	$42.28	$42.32	$2.98	0.09%	rule
USMV	2025-09-22	2025-09-26	35	$93.79	$93.83	$1.30	0.04%	rule
XLU	2025-09-22	2025-10-07	77	$42.23	$45.05	$217.03	6.67%	target
USMV	2025-09-29	2025-10-17	34	$94.82	$93.34	$-50.41	-1.56%	rule
USMV	2025-10-21	2025-10-29	34	$94.55	$94.22	$-11.31	-0.35%	rule
TLT	2025-09-24	2025-11-06	36	$89.12	$89.52	$14.30	0.45%	rule
TLT	2025-11-13	2025-11-14	36	$89.84	$89.75	$-3.34	-0.10%	rule
XLU	2025-11-10	2025-11-20	73	$45.00	$44.56	$-32.22	-0.98%	rule
XLU	2025-11-25	2025-11-26	74	$44.71	$44.62	$-6.76	-0.20%	rule
XLU	2025-11-28	2025-12-02	73	$45.09	$44.44	$-47.55	-1.44%	rule
USMV	2025-12-12	2025-12-17	34	$94.82	$93.77	$-35.79	-1.11%	rule
USMV	2025-12-22	2026-01-05	35	$94.25	$93.53	$-25.30	-0.77%	rule
USMV	2026-01-07	2026-01-21	34	$94.66	$93.83	$-28.31	-0.88%	rule
XLU	2026-02-04	2026-02-05	76	$43.49	$43.20	$-22.14	-0.67%	rule
USMV	2026-01-22	—	34	$94.58	—	$54.74	1.70%	open_at_end

Rejected orders

Orders the mock broker refused. A strategy whose orders were mostly rejected did not run as written, and omitting this list would describe a different strategy.

None. Every order this strategy sent was accepted.

Statistical significance

p-value (two-sided, binomial on the win/loss record): 0.01

q-value, corrected via Benjamini-Hochberg across the 24 strategies tried in this tournament: 0.02

Limitations

• 624 sessions is one market regime, not a sample of regimes. A strategy that worked here has not been shown to work in a rising-rate, high-volatility, or sideways regime -- only in whatever this one was.

• The traded universe was chosen because the user already trades these names. That is a selection effect, not a random or representative sample of the market, and it biases every result in this report in a direction that cannot be corrected after the fact.

• Fills are simulated: orders execute at the next session's open with deterministic adverse slippage applied by the mock broker. These are not real fills -- a live broker would fill some orders worse, and might reject orders this simulation accepted.

• This is a simulation of a trading strategy, not investment advice, and no figure in this report should be treated as a recommendation to trade.